

CHIEF INVESTMENT OFFICE

# Capital Market Outlook

July 27, 2026

All data, projections and opinions are as of the date of this report and subject to change.

## IN THIS ISSUE

### Macro Strategy—Moderate Growth, Anchored Inflation, Resilient Risk Appetite:

Markets have so far treated the Iran war as a temporary oil-supply disturbance. Combined with moderate U.S. growth and tempered inflation expectations, this view limited the increase in bond yields and bond yield volatility despite surging oil prices—a positive for risk-asset performance. The gold-to-copper ratio has reversed its spike spurred by the April 2025 tariff shock and extended through the March 2026 start of the Iran war, consistent with easing growth concerns and a risk-on market tilt. Rising copper prices have confirmed growth support from Artificial Intelligence (AI)-investment and broader electrification efforts, while also reflecting supply factors (high fuel costs; war-related shortages of sulfuric acid used in copper production; mining setbacks; tariffs, and rising China refined-copper imports due to smelter maintenance and other pressures not purely end-demand driven). Overall, the data suggests the economy likely retains a sufficient cushion to absorb the current oil price shock, allowing the expansion to continue at a moderate pace. However, escalating geopolitical conflicts increase growth and inflation risks.

### Market View—International Equity Markets: Strengths, Weaknesses, Opportunities and Challenges:

Recent weakness in the Technology sector has highlighted a major dividing line across international equity markets, underscoring the importance of the group to relative returns internationally. A key question for investors will therefore be whether the advance in technology-linked markets can continue, particularly within upstream segments related to AI data center investment. Meanwhile, the return of energy supply constraints in the Middle East poses a growing risk to European and Asian markets. Though both were able to withstand the disruptions to production, shipping and prices during the first phase of the Iran conflict, the July re-escalation could potentially be more challenging should it persist over the weeks and months ahead.

### Thought of the Week—Behind the Surge in Business Formation: The “Solopreneur”:

U.S. business applications are running north of 6 million over the 12 months through June 2026. In other words, entrepreneurial activity is booming in the U.S. Yet an underappreciated driver of the surge has been the rise of the “solopreneur”—or solo founders running businesses without employees. Since the start of 2025, solopreneur applications have risen by 23%, while “high-propensity” applications (businesses likely to hire) are essentially flat.

What’s driving entrepreneurs to go solo? Enter generative AI, which has lowered barriers to entry and enabled businesses to innovate, produce and expand without hiring. For investors, this is a direct reflection of the U.S. economy’s entrepreneurial DNA and a key reason to keep the U.S. at the center of portfolios. Think more competition, greater innovation and, over time, higher productivity—a potent recipe for corporate earnings and U.S. growth. As AI adoption grows and as the cost of technology declines, we expect new small businesses, the backbone of the U.S. economy, to be among the biggest recipients of productivity gains.

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**MACRO STRATEGY ►**

**MARKET VIEW ►**

**THOUGHT OF THE WEEK ►**

**MARKETS IN REVIEW ►**

## Portfolio Considerations

The “Era of Transformation” is being driven by innovation, capital investment, infrastructure needs, and evolving themes that extend from short-term resilience and earnings growth to longer-term Rebalancing, Re-globalization, Reconstruction, and Rearmament.

Persistent shortages across AI-related resources, infrastructure, minerals, and defense equipment are expected to support productivity, profit margins, asset-price growth, and attractive potential opportunities across global equity markets, despite periodic “Bullwhip” market volatility.

We remain overweight U.S. and Emerging Market Equities—favoring Industrials, Financials and Consumer Discretionary—while maintaining balanced exposure between Growth and Value, and views higher Fixed Income yields as attractive for income, diversification and risk compensation.

## Moderate Growth, Anchored Inflation, Resilient Risk Appetite

### Chief Investment Office, Macro Strategy Team

Incoming data suggest U.S. growth remains moderate and close to potential rather than overheating. Activity is being pulled in both directions: wealth effects, inflation-indexed government transfers, government spending, tax incentives and the AI investment boom continue to support it—while higher oil prices and tariffs, slower wage growth, cautious bank lending, elevated consumer borrowing costs and soft hiring restrain it.

The Federal Reserve's (Fed) Beige Book prepared for the July 28–29 rate-setting meeting, supports this view. Over the mid-May to early July reference period, 11 of 12 Fed districts reported expansion, the broadest improvement since early 2025. Yet, the expansion was characterized as slight to moderate, with moderate price increases, wage growth modest to moderate, and employment rising on balance but showing little to no change in seven of 12 districts. Recent ADP data also show that four-week average employment gains have started to fade through the July 4 week after picking up earlier this year.

With slower and narrower job creation (private-sector employment outside healthcare and education is still lower than two years ago), labor-market slack has grown. The average duration of unemployment has increased, job openings have declined and the pool of people outside the labor force who nevertheless want a job has expanded. The lack of labor-market dynamism—partly due to a widening mismatch between jobs and skills as the economy changes and technology advances—has also restrained wage growth, constraining consumer spending.

Indeed, although June retail sales surprised to the upside, the underlying signal was less upbeat than the headline suggested. According to BofA Global Research, non-store retailers accounted for much of the strength, helped by special promotions that could partly reverse in July. Spending in most other categories remained tepid, with limited evidence of a meaningful net boost from the World Cup. While upward revisions to prior months, especially to food services, lifted expectations for Q2 real consumer spending after a very weak Q1 gain, real gross domestic product (GDP) still tracks around 1.75% to 2% for Q2, according to various estimates, consistent with moderate, non-inflationary growth outside energy-price effects. In fact, renewed fuel-price pressures, alongside fading support from early-year tax refunds, point to persistent growth headwinds in the second half.

Manufacturing tells a similarly mixed story. After two strong monthly gains earlier in the year, output increased modestly in May and contracted in June (Exhibit 1A). The AI investment boom is leaking into large imports of semiconductors and related equipment, limiting its domestic growth and employment impact relative to headline investment outlays. Also, a strong dollar restrains exports. On the other hand, lean inventories across several industries point to a likely restocking cycle in coming quarters. In addition, defense spending and rebounding aerospace production, alongside favorable regional Fed July surveys point to continued manufacturing-sector expansion. This is consistent with further improvement in the Institute for Supply Management manufacturing index—typically a constructive signal for corporate earnings and investor risk appetite.

Against a backdrop of moderate growth, sharply lower June oil prices and fading tariff effects, inflation delivered an encouraging downside surprise for a change. Not only did June headline consumer price index (CPI) inflation decline sharply alongside lower oil prices, but “core” CPI (excluding food and energy) also posted a small but rare monthly decline, nudging the year-over-year (YoY) rate down to 2.6% from 2.8% in May. The improvement was broad based: prices of goods excluding food and energy declined, prices for services excluding energy and rent of shelter declined, and a larger share of CPI components (about a third) declined. With housing still likely to contribute to future disinflation—as new-lease measures remain soft and multifamily supply continues to expand—and little evidence that tariffs or energy prices are feeding a broader wage-price spiral so far, gradual inflation normalization without much Fed tightening is likely, in our view.

### Investment Implications

With moderate U.S. growth and inflation underpinnings, we expect investors to continue to favor economically sensitive sectors and AI-investment beneficiaries, assuming stabilization of geopolitical situation.

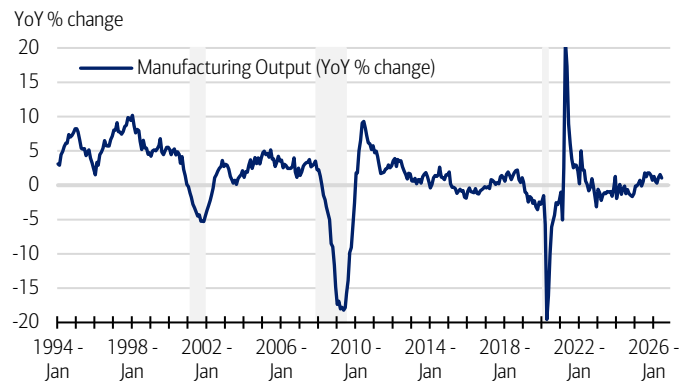
The main risk to the outlook remains energy. Although the global economy has adapted better than expected to Strait of Hormuz disruptions, as discussed in recent reports, renewed and expanded trade barriers raise risks to both growth and inflation. Ukrainian attacks on Russian refining and export infrastructure have further tightened the global refined-products market, with at least 24 of Russia’s 34 large refineries reportedly struck by drones and bringing Russian crude processing down to its lowest level in more than two decades. Given its large export footprint, especially for diesel, Russian diesel and jet fuel export restrictions combined with gasoline imports have tightened refined-product markets. India’s recent introduction of higher fuel export taxes and China’s preference for preserving crude inventories while retaining large underutilized refining capacity reduce the likelihood of near-term supply relief. In fact, the threatened blockade of the Bab-el-Mandeb strait would extend the transit time for roughly three million barrels per day of Saudi oil going to Asia by about a month, with additional logistical complexity tied to Suez Canal tanker capacity constraints also increasing costs and transit time.

According to the EIA, with U.S. refiners running at full capacity, commercial crude inventories remain above pre-2015 levels. However, refiners have prioritized jet fuel and distillate production to meet strong global demand, causing gasoline inventories to fall below their five-year range. Reflecting tight supply, U.S. gasoline and diesel prices have risen to levels consistent with roughly \$140 and \$170 per barrel crude oil, respectively. Moreover, fuel markets remain vulnerable to potential unexpected refinery maintenance requirements. The Strategic Petroleum Reserve (SPR) has declined to 40-year lows and is approaching operational limits.

Still, because of a big decline in the U.S. economy’s energy intensity, diesel and gasoline costs as a share of GDP remain below past oil-shock levels (around 2.2% vs. roughly 4.5% in 1973, for example). Also, the U.S. is now an oil exporter rather than a large oil importer. This suggests that oil prices are not high enough to cause a U.S. or global recession. According to Dallas Fed Research, June 23, 2026, the estimated effect on U.S. GDP growth in 1980 from a similar oil shock as that caused by the Hormuz crisis this year would have had a 20 times larger impact (Exhibit 1B). Global fuel intensity has also declined significantly, but the U.S. resilience is still greater. At current prices, there are still sufficient growth tailwinds to keep the expansion going at a moderate pace. Also positive, tempered growth and still anchored inflation expectations have helped keep the 10-year Treasury yield in its relatively narrow range of the past two years despite spiking oil prices, with markets relatively comfortable with the gradual uptick in yields to date. The bigger risk to asset prices would be a disorderly rise in real yields and bond-market volatility, including if driven by Fed interest rate hikes without stronger growth.

**Exhibit 1: Inflation Divergence Likely to Resolve to the Downside.**

A) Industrial Production still moderate compared to past economic booms.



B) Tremendously greater resilience to oil shock today compared to the past.

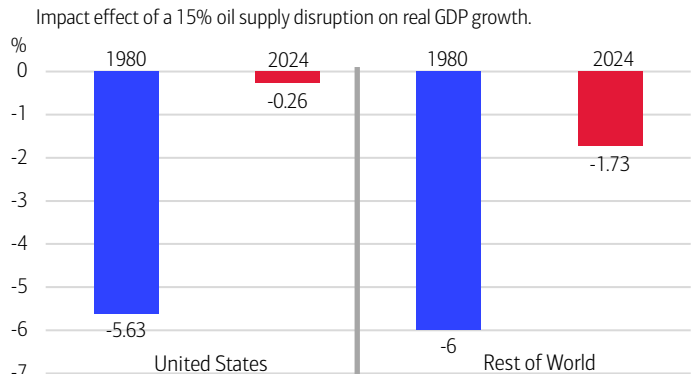


Exhibit 1A) Sources: Federal Reserve Board/Haver Analytics. Data as of July 23, 2026. Exhibit 1B) The oil supply disruption originates in the rest of the world. All values are based on a one-quarter oil supply disruption. The growth rates are annualized percentage point deviations from the pre-shock baseline. Source: Federal Reserve Bank of Dallas. Data as of June 23, 2026.

## International Equity Markets—Strengths, Weaknesses, Opportunities and Challenges

Ehiwario Efeyini, *Director and Senior Investment Strategist*

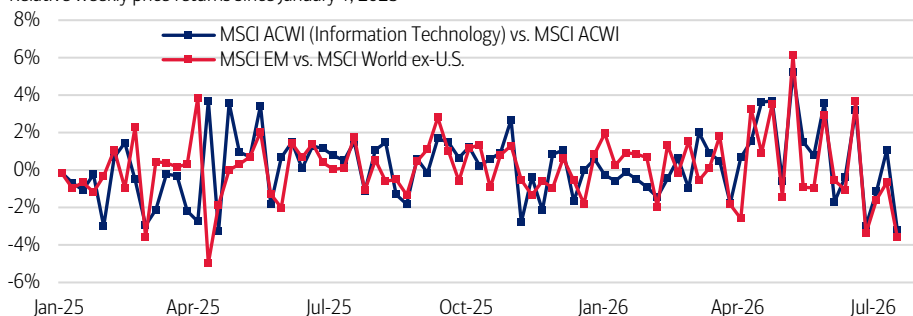
The drawdown in the global Technology sector between early-June and mid-July has highlighted a major dividing line across international equity markets. Europe has been the global leader over the period, emerging Asian markets have been by far the weakest, and the U.S. and Japan have fallen in between the two. This has been a mirror image of the full year 2026 so far, in which technology leadership has driven outperformance in emerging markets and seen Europe lag. And it underscores the current importance of the Technology sector to relative international returns, given the wide disparities now present in regional capitalization weightings. Technology exposure (including the internet platforms listed in Communication Services and Consumer Discretionary) now accounts for 50% of the MSCI Emerging Market (EM) Index benchmark (and 60% of emerging Asia), with the semiconductor industry group alone forming 35% of EM Equities (and 42% of emerging Asia).

By contrast, Europe's Technology sector exposure stands at just 10%. Indeed, since the start of 2025, the MSCI EM Index has outpaced the overall developed ex-U.S. benchmark (MSCI World ex-U.S.) in 70% of the weekly periods in which the global Technology sector has risen by more than global Equities (MSCI All-Country World) in aggregate (Exhibit 2).

### Exhibit 2: Emerging Markets have Led Global Equities During Recent Periods of Strength in the Technology Sector.

Global technology relative return vs. emerging markets relative return

Relative weekly price returns since January 1, 2025



Sources: MSCI; Bloomberg. Data as of July 17, 2026. It is not possible to invest directly in an index. Please refer to index definitions at the end of this report. **Past performance is no guarantee of future results.**

A key question for international markets in the second half of the year will therefore be whether the advance in technology-linked markets can continue, particularly within upstream segments related to AI data center investment. And important to watch here will be the capital spending plans of the cloud hyperscalers, pricing power in critical parts of the supply chain such as memory, foundry and semicap equipment, and, ultimately, user demand for models and developer applications. Wider AI adoption and more application use cases would likely allow market participation to extend further downstream within the sector, including in China, whose capitalization share of the MSCI EM index has halved over the past five years, but at close to 20% remains the third-largest after Taiwan and Korea. And notwithstanding the potential for further bouts of volatility of the type experienced over recent weeks, broader gains for the tech sector should continue to favor EMs and Asia over Europe.

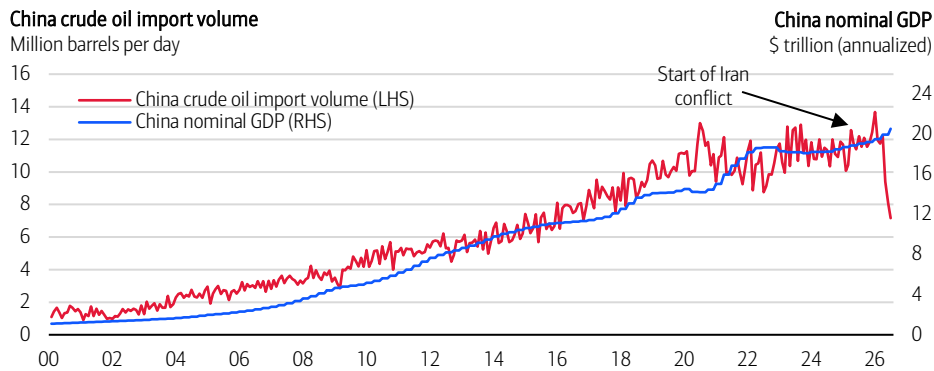
The return of energy supply constraints in the Middle East nonetheless poses a growing risk to both European and Asian markets. Both are heavily reliant on imported oil and gas in their primary energy consumption, with Asia more directly dependent on shipments from the Middle East. And though both markets were able to withstand the disruptions to production, shipping and prices during the first phase of the Iran conflict, the July re-escalation could potentially be more challenging should it persist over the weeks and months ahead.

### Investment Implications

We maintain a favorable view on EMs relative to Europe, but continue to weigh the potential impact of changes to the macro environment related to the pivotal themes of technology and energy. We also stay cautious on the UK market, particularly in light of this month's change in central government leadership. And we remain constructive on Japan, despite the market facing similar risks to much of emerging Asia from any further tightening in global energy supply.

The MSCI Europe and MSCI emerging Asia benchmarks corrected by 10% to 15% in March following the initial outbreak of the conflict but rebounded in Q2 even in the face of higher energy prices as activity in the sector adjusted. Individual countries were able to draw upon their national oil inventories. China in particular (by far the largest global energy importer) reduced its oil imports by around 40%, taking them back to 2016 levels when its economy was roughly half its current size (Exhibit 3). And oil and gas export volumes were redirected to Saudi Arabia's Red Sea coast.

### Exhibit 3: China's Oil Import Volumes have Fallen Sharply Since the Start of the Iran Conflict.



Sources: Bloomberg; Chief Investment Office. Data as of June 2026. Import volume converted from tons to barrels at ratio of 7.33:1

But these three sources of relief are unlikely to offer the same cushion for markets in the current phase of the conflict. Global observed oil inventories have now been drawn down by more than 300 million barrels over the period between March and June, according to the International Energy Agency. Depending on its willingness to further deplete its domestic stockpiles, China's oil import demand could begin to increase again from depressed levels. And risks to energy exports through the Red Sea could force a diversion of the estimated 5.4 million barrels per day of oil and 2.9 billion cubic feet per day of liquefied natural gas that were transported through the waterway in Q1 of 2026, according to the U.S. Energy Information Administration. It also remains to be seen how global monetary authorities will react to higher headline inflation driven by the recent energy price surge. Higher interest rates could present an additional hurdle for international equity markets if central banks are forced to tighten policy. We maintain a favorable view on EMs relative to Europe, but continue to weigh the potential impact of changes to the macro environment related to these two pivotal themes of technology and energy.

Our view on the smaller regional developed markets also remains intact and has been reinforced by recent local developments. As in continental Europe, we stay cautious on the U.K. market, particularly in light of this month's change in central government leadership. Even though the ruling party remains in place and its platform is officially unchanged, the new prime minister is expected to pursue a more redistributionist policy agenda and has suggested introducing more flexibility into national budget rules with the potential for future increases in tax rates. The fiscal outlook will therefore be important to watch over the coming months for any potential deterioration in investor perceptions around the local market. And, at the same time, we remain constructive on Japan. Given its dependence on imported oil from the Middle East, the Japan market faces similar risks to much of emerging Asia from any further tightening in global energy supply from the region. And to a lesser extent, it should also remain sensitive to volatility in the Technology sector, given its hardware exposure to industry groups such as semicap equipment and electronic components. We nonetheless still see structural supports from shareholder-friendly deployment of corporate cash for buybacks, payouts and acquisitions, in addition to fiscal expansion coming from the new administration, and both competitive support and a translation boost on overseas profits from yen weakness.

Behind the Surge in U.S. Business Formation: The “Solopreneur”

Ariana Chiu, Assistant Vice President and Investment Strategist

Business formation is at all-time highs in the U.S., with applications over the 12 months through June 2026 running north of 6 million.<sup>1</sup> In other words, entrepreneurial activity is booming in the U.S. But an underappreciated feature of the recent surge in business applications has been the rise of the “solopreneur”—or solo founders who run businesses on their own without employees.

As Exhibit 4A highlights, the increase in business applications since the start of 2025 has been primarily driven by solopreneurs. Whereas their applications have risen by 23% in just the last year and a half, applications among “high-propensity” businesses (i.e., businesses likely to hire workers) are essentially flat over the same period. Translated: Solo founders have fueled most of the recent acceleration in business creation. Data from Stripe, a financial services platform, confirms in Exhibit 4B: The wave of new startups, particularly in Q1 of this year, has largely been the work of solo founders.

What’s driving entrepreneurs to go solo? Enter generative artificial intelligence (AI), which has lowered barriers to entry and enabled businesses to innovate, produce, market and expand, all without necessarily hiring additional employees. Indeed, the sectors that have seen the largest growth in business applications such as Information and Professional Services are also the sectors with the highest AI adoption rates of 44% and 38% respectively.<sup>1</sup> All the while, job growth in these sectors has been limited or negative. Employment in the Information sector, for example, is currently below pre-pandemic levels—despite the sector’s gross domestic product expanding by over 50% since the start of the decade.

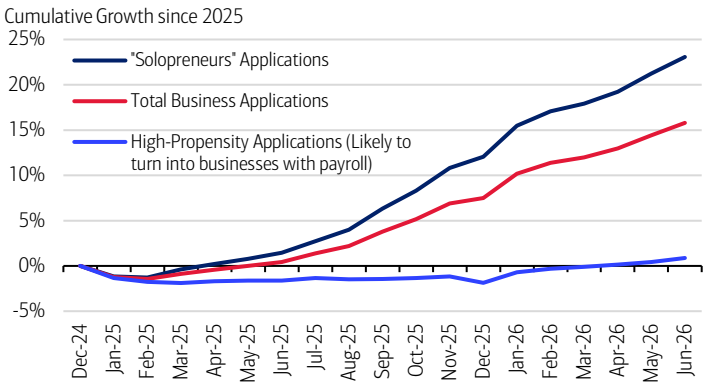
For investors, the rise of the solopreneur and the attendant increase in business formation is a direct reflection of the U.S. economy’s entrepreneurial DNA. We believe that’s a key reason to maintain the U.S. at the center of portfolios because it means more competition, greater innovation and, over time, higher productivity—all of which are good news for corporate earnings and U.S. growth. Already, AI has helped lift company margins with earnings as a share of GDP at a record 14% as of Q1 2026.<sup>2</sup> As AI adoption grows and as the cost of technology declines, we expect new small businesses, the backbone of the U.S. economy, to be among the biggest recipients of productivity gains.

Investment Implications

Recent trends in business applications reinforce our conviction in America’s risk-taking entrepreneurial culture. AI adoption should continue to help profits expand more broadly across sectors. Stay overweight the U.S. in portfolios.

Exhibit 4: The Rise of the Solopreneur.

A) Breaking down higher business applications.



B) Startups go solo.

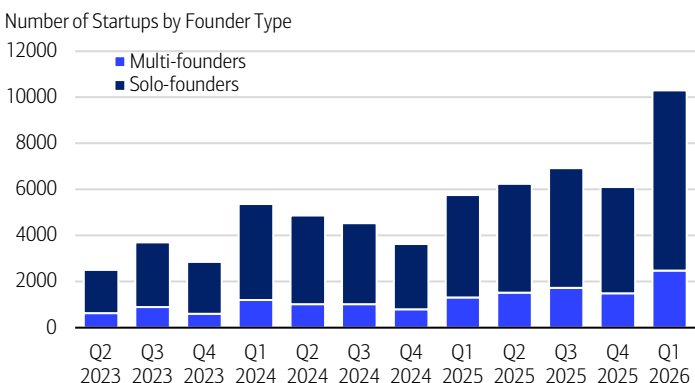


Exhibit 4A) “Solopreneurs” refers to non-high-propensity applications. Source: Census Bureau. Data as of July 9, 2026. Exhibit 4B) Source: Stripe. Data through Q1 2026, as of July 2026.

<sup>1</sup> Census Bureau. Data as of July 2026.

<sup>2</sup> Bureau of Economic Analysis. Data as of July 2026.



Equities

| Equities              | Total Return in USD (%) |      |      |      |
|-----------------------|-------------------------|------|------|------|
|                       | Current                 | WTD  | MTD  | YTD  |
| DJIA                  | 51,947.25               | -0.4 | -0.6 | 9.0  |
| NASDAQ                | 24,975.82               | -2.1 | -4.7 | 7.8  |
| S&P 500               | 7,411.98                | -0.6 | -1.1 | 9.0  |
| S&P 400 Mid Cap       | 3,783.86                | 0.2  | -1.7 | 15.3 |
| Russell 2000          | 2,930.00                | -1.1 | -3.1 | 18.8 |
| MSCI World            | 4,788.90                | -0.4 | -0.7 | 8.9  |
| MSCI EAFE             | 3,113.50                | 0.4  | -0.1 | 9.4  |
| MSCI Emerging Markets | 1,628.03                | 0.5  | -5.3 | 17.3 |

Fixed Income<sup>†</sup>

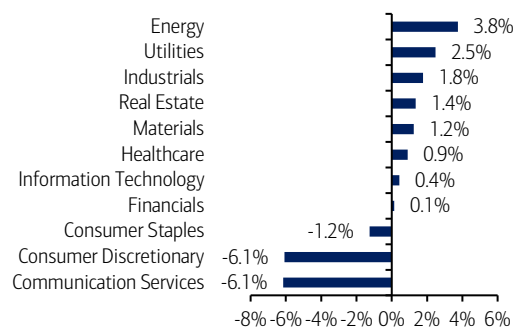
| Fixed Income                 | Total Return in USD (%) |       |       |       |
|------------------------------|-------------------------|-------|-------|-------|
|                              | Current                 | WTD   | MTD   | YTD   |
| Corporate & Government       | 4.88                    | -0.73 | -1.20 | -0.72 |
| Agencies                     | 4.63                    | -0.39 | -0.45 | 0.16  |
| Municipals                   | 3.94                    | -1.19 | -1.98 | 0.30  |
| U.S. Investment-Grade Credit | 4.97                    | -0.74 | -1.18 | -0.57 |
| International                | 5.47                    | -0.92 | -1.61 | -0.77 |
| High Yield                   | 7.46                    | -0.57 | -0.43 | 1.52  |
| 90 Day Yield                 | 3.90                    | 3.79  | 3.81  | 3.63  |
| 2 Year Yield                 | 4.33                    | 4.18  | 4.17  | 3.47  |
| 10 Year Yield                | 4.68                    | 4.55  | 4.47  | 4.17  |
| 30 Year Yield                | 5.16                    | 5.07  | 4.95  | 4.84  |

Commodities & Currencies

| Commodities                       | Total Return in USD (%) |     |      |      |
|-----------------------------------|-------------------------|-----|------|------|
|                                   | Current                 | WTD | MTD  | YTD  |
| Bloomberg Commodity               | 346.90                  | 2.8 | 9.8  | 25.6 |
| WTI Crude \$/Barrel <sup>††</sup> | 89.31                   | 8.3 | 28.5 | 55.5 |
| Gold Spot \$/Ounce <sup>††</sup>  | 4052.79                 | 0.9 | 1.1  | -6.2 |

| Currencies | Total Return in USD (%) |                |                 |               |
|------------|-------------------------|----------------|-----------------|---------------|
|            | Current                 | Prior Week End | Prior Month End | 2025 Year End |
| EUR/USD    | 1.14                    | 1.14           | 1.14            | 1.17          |
| USD/JPY    | 163.83                  | 162.40         | 162.55          | 156.71        |
| USD/CNH    | 6.77                    | 6.78           | 6.79            | 6.98          |

S&P Sector Returns



Sources: Bloomberg, Factset. Total Returns from the period of 07/20/2026 to 07/24/2026. <sup>†</sup>Bloomberg Barclays Indices. <sup>††</sup>Spot price returns. All data as of the 07/24/2026 close. Data would differ if a different time period was displayed. Short-term performance shown to illustrate more recent trend. **Past performance is no guarantee of future results.**

Economic Forecasts (as of 7/24/2026)

| Economic Forecasts                 | Q1 2026A | Q2 2026A | Q3 2026E | Q4 2026E | 2026E | 2027E |
|------------------------------------|----------|----------|----------|----------|-------|-------|
| Real global GDP (% y/y annualized) | -        | -        | -        | -        | 3.2   | 3.5   |
| Real U.S. GDP (% q/q annualized)   | 2.1      | 2.5*     | 2.5      | 2.4      | 2.3   | 2.2   |
| CPI inflation (% y/y)              | 2.7      | 3.8      | 3.4      | 3.1      | 3.3   | 2.1   |
| Core CPI inflation (% y/y)         | 2.5      | 2.7      | 2.4      | 2.5      | 2.5   | 2.5   |
| Unemployment rate (%)              | 4.3      | 4.3      | 4.3      | 4.2      | 4.3   | 4.2   |
| Fed funds rate, end period (%)     | 3.63     | 3.63     | 3.88     | 4.38     | 4.38  | 4.38  |

The forecasts in the table above are the base line view from BofA Global Research. The Global Wealth & Investment Management (GWIM) Investment Strategy Committee (ISC) may make adjustments to this view over the course of the year and can express upside/downside to these forecasts. Historical data is sourced from Bloomberg, FactSet, and Haver Analytics. **There can be no assurance that the forecasts will be achieved. Economic or financial forecasts are inherently limited and should not be relied on as indicators of future investment performance.** A = Actual. E/\* = Estimate. Data as of July 24, 2026. Sources: BofA Global Research; GWIM ISC as of July 24, 2026.

Asset Class Weightings (as of 7/7/2026)

| Asset Class                      | CIO View    |   |         |   |            |
|----------------------------------|-------------|---|---------|---|------------|
|                                  | Underweight |   | Neutral |   | Overweight |
| Global Equities                  | •           | • | •       | ● | •          |
| U.S. Large-cap Growth            | •           | • | •       | ● | •          |
| U.S. Large-cap Value             | •           | • | •       | ● | •          |
| U.S. Small-cap Growth            | •           | • | •       | ● | •          |
| U.S. Small-cap Value             | •           | • | •       | ● | •          |
| International Developed          | •           | ● | •       | • | •          |
| Emerging Markets                 | •           | • | •       | ● | •          |
| Global Fixed Income              | •           | ● | •       | • | •          |
| U.S. Governments                 | •           | ● | •       | • | •          |
| U.S. Mortgages                   | •           | ● | •       | • | •          |
| U.S. Corporates                  | •           | ● | •       | • | •          |
| International Fixed Income       | •           | ● | •       | • | •          |
| High Yield                       | •           | ● | •       | • | •          |
| U.S. Investment-grade Tax Exempt | •           | ● | •       | • | •          |
| U.S. High Yield Tax Exempt       | •           | ● | •       | • | •          |
| Alternative Investments*         |             |   |         |   |            |
| Hedge Strategies                 |             |   |         |   |            |
| Private Equity                   |             |   |         |   |            |
| Private Credit                   |             |   |         |   |            |
| Real Assets                      |             |   |         |   |            |
| Cash                             |             |   |         |   |            |

\* Many products that pursue Alternative Investment strategies, specifically Private Equity and Hedge Funds, are available only to qualified investors. CIO asset class views are relative to the CIO Strategic Asset Allocation (SAA) of a multi-asset portfolio. Source: Chief Investment Office as of July 7, 2026. All sector and asset allocation recommendations must be considered in the context of an individual investor's goals, time horizon, liquidity needs and risk tolerance. Not all recommendations will be in the best interest of all investors.

CIO Equity Sector Views

| Sector                 | CIO View    |   |         |   |            |
|------------------------|-------------|---|---------|---|------------|
|                        | Underweight |   | Neutral |   | Overweight |
| Industrials            | •           | • | •       | ● | •          |
| Consumer Discretionary | •           | • | •       | ● | •          |
| Financials             | •           | • | •       | ● | •          |
| Information Technology | •           | • | ●       | • | •          |
| Energy                 | •           | • | ●       | • | •          |
| Materials              | •           | • | ●       | • | •          |
| Utilities              | •           | • | ●       | • | •          |
| Healthcare             | •           | • | ●       | • | •          |
| Communication Services | •           | ● | •       | • | •          |
| Real Estate            | •           | ● | •       | • | •          |
| Consumer Staples       | •           | ● | •       | • | •          |

## Index Definitions

**Securities indexes assume reinvestment of all distributions and interest payments. Indexes are unmanaged and do not take into account fees or expenses. It is not possible to invest directly in an index. Indexes are all based in U.S. dollars.**

**S&P 500 Index** is a stock market index tracking the stock performance of 500 leading companies listed on stock exchanges in the United States.

**MSCI All-Country World Index** is a premier benchmark representing global equity performance, covering large and mid-cap stocks across 23 developed and 24 emerging markets.

**Institute for Supply Management Manufacturing Index** is a composite measure equally weighing new orders, production, employment, supplier deliveries, and inventories.

**MSCI Emerging Market Index** is a stock market index designed to measure the equity market performance of developing economies globally.

**MSCI World ex US Index** captures large and mid cap representation across 22 of 23 Developed Markets (DM) countries--excluding the United States.

**MSCI Europe Index** captures large and mid cap representation across Developed Markets (DM) countries in Europe.

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Nonfinancial assets, such as closely held businesses, real estate, fine art, oil, gas and mineral properties, and timber, farm and ranch land, are complex in nature and involve risks including total loss of value. Special risk considerations include natural events (for example, earthquakes or fires), complex tax considerations, and lack of liquidity. Nonfinancial assets are not in the best interest of all investors. Always consult with your independent attorney, tax advisor, investment manager, and insurance agent for final recommendations and before changing or implementing any financial, tax, or estate planning strategy.

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